

INTERNAL AUDIT REPORT

Approval Controls Audit | Report No. AR-02335

Report ID:	AR-02335
Audit Type:	Approval Controls Audit
Report Date:	January 31, 2024
Audit Period:	2023-10-04 to 2024-01-21
Lead Auditor:	Shelly Wright (EMP-33745)
Reviewed By:	Daniel Oneal (EMP-24076)
Primary Vendor Reference:	BridgeTech Consulting Inc (VND-01227)
Subject Employee Reference:	Charles Gonzalez (EMP-5099)
Primary Transaction Reference:	TXN-992753
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This approval controls audit covered the period 2023-10-04 to 2024-01-21 and examined transactions, approvals, and compliance records associated with vendor BridgeTech Consulting Inc (VND-01227) and employee Charles Gonzalez (EMP-5099). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-992753 (amount 73,464.06 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001737	CRITICAL	POLICY BREACH	Expense claim of \$350,858 for Consulting exceeds the policy maximum of \$500,000. Overage: \$6,963.
FND-003059	MEDIUM	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0018 requires receipts for all claims above \$50.

Finding ID	Severity	Category	Description
FND-002198	MEDIUM	POLICY BREACH	Claim EXP-193342 violates Policy POL-0018 section 4.2: Entertainment expenditure capped at \$5,000 per event.
FND-001108	CRITICAL	POLICY BREACH	Entertainment expense of \$170,270 submitted by EMP-56214 exceeds monthly policy allowance of \$5,000.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001006	HR RECORD	EVD-VPL-6337	0.67
EVI-001190	COMPLIANCE RECORD	EVD-RYS-9145	0.92
EVI-001275	POLICY DOCUMENT	EVD-RNE-8916	0.56
EVI-001689	VENDOR RECORD	EVD-LIG-2936	0.84
EVI-002648	DNS LOG	EVD-VIZ-3952	0.91
EVI-003253	APPROVAL RECORD	EVD-KTO-4637	0.60

5. RECOMMENDATIONS

- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Implement receipt-matching automation for expense claims above the policy threshold.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Shelly Wright	EMP-33745	2024-01-31
Reviewing Officer	Daniel Oneal	EMP-24076	2024-02-02